

Topic	Claim (<=40 words)	Evidence Summary (<=40 words)	Source Title	URL	Date (ISO)
Team	Aztec Network was founded in 2017 by CEO Zac Williamson and Joe Andrews in London, with Williamson as a leading ZK cryptographer (co-creator of PLONK) and Andrews as head of product.	Aztec's vision "encryption for all" began in 2017 under Zac Williamson (CEO, PLONK co-inventor) and co-founder Joe Andrews (product lead), originally alongside Thomas Walton-Pocock; cryptographer Ariel Gabizon later joined as chief scientist 1 2 .	<i>VPN for Crypto: What is Special about Aztec Network?</i> (TokenInsight)	https://tokeninsight.com/en/research/analysts-pick/vpn-for-crypto-what-is-special-about-aztec-network	2023-01-03
Team	The project is backed by top investors (Paradigm, a16z, etc.) and organized as Aztec Labs (London-based dev company) and the Aztec Foundation (Swiss entity) overseeing the network and token.	Aztec raised ~\$119 M across 2018–2022 (Paradigm led Series A, a16z led \$100 M Series B) 3 . The Aztec Foundation (based in Switzerland) is conducting the token sale and will steward network governance 4 .	<i>Aztec Open Public Offering...</i> (Foresight News via ChainCatcher)	https://www.chaincatcher.com/en/article/2220222	2025-11-14

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Technology	Aztec is a privacy-first zkRollup on Ethereum with a custom Aztec VM (non-EVM). It supports smart contracts that combine private state (encrypted UTXOs) and public state, enabling programmable privacy at multiple layers.	Aztec uses a novel “alt-VM” architecture: private functions execute client-side and update an encrypted UTXO state, while public functions run on the Aztec VM with a public state tree ⁵ ⁶ . This design lets developers mix private and public contract logic.	<i>Aztec Documentation – What is Aztec?</i>	https://docs.aztec.network/	2025-11-27
Technology	Transactions are proven using Aztec’s PLONK-based zkSNARK system. Users generate proofs client-side (“Private Execution Environment”) to keep data secret, and the network’s nodes verify these proofs and execute any public contract calls on-chain.	In Aztec, sensitive data stays on the user’s machine – transactions start in a Private Execution Environment (PXE) which produces a zero-knowledge proof. The proof and state updates are then sent to the public Aztec node for verification ⁷ ⁸ . The on-chain verifier uses PLONK zkSNARKs ⁹ .	<i>Aztec Overview – Core Concepts (Aztec Docs)</i>	https://docs.aztec.network/developers/docs/concepts	2025-11-27

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Technology	Aztec smart contracts are written in Noir, an open-source Rust-like domain-specific language for zero-knowledge programs. Noir aims to make ZK development accessible, allowing developers to write private circuits and public logic without deep cryptography expertise.	Aztec created Noir , a Rust-based programming language for writing and verifying zero-knowledge proofs. Noir abstracts cryptography complexity so any developer can build ZK applications, which is key to growing Aztec's developer ecosystem ¹⁰ ¹¹ .	<i>VPN for Crypto: What is Special about Aztec Network?</i> (TokenInsight)	https://tokeninsight.com/en/research/analysts-pick/vpn-for-crypto-what-is-special-about-aztec-network	2023-01-03
Technology	The Aztec network's security model inherits Ethereum's security: batched transactions and state commitments are posted on L1, and an Ethereum smart contract (with no admin key) verifies each rollup block's PLONK proof to ensure state correctness.	Every Aztec rollup block must come with a valid zkSNARK proof of correct state transition, which is verified by the on-chain Verifier contract ¹² ⁹ . The Aztec rollup contract on Ethereum is immutable and had its ownership renounced for trustlessness ¹³ .	<i>Zk.Money v2 (Aztec Connect) - L2Beat</i>	https://l2beat.com/scaling/projects/aztecconnect	2024-03-31

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Tokenomics	The AZTEC token (genesis supply 10.35 billion) is used for staking (securing Aztec's proof-of-stake sequencer set) and governance of protocol upgrades. In the future, if Aztec enables a full execution environment, the token will also be used to pay transaction fees.	According to Aztec's token materials, validators ("sequencers") must stake AZTEC tokens to produce blocks ¹⁴ . Token holders can vote in Aztec governance ¹⁵ . If/when general smart contracts are enabled, Aztec tokens will become the fee currency for transactions ¹⁶ .	<i>Aztec Open Public Offering...</i> (Foresight News via ChainCatcher)	https://www.chaincatcher.com/en/article/2220222	2025-11-14

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Tokenomics	At genesis, ~48% of AZTEC tokens are allocated to insiders (27.26% investors/backers; 21.06% core team). The Aztec Foundation gets 11.71%, ecosystem grants 10.73%, and about 21.96% of tokens (2.27 billion) are designated for public distribution via sales, liquidity, and rewards.	Aztec's whitepaper shows a 10.35 B token supply split among investors & early supporters (27.26%), core team (21.06%), foundation (11.71%), and ecosystem grants (10.73%)¹⁷. Public-facing allocations include 14.95% for the community token auction, 1.93% for a prior genesis sale, ~2.44% bilateral sales, 2.64% for a Uniswap v4 liquidity pool, plus 4.89% future incentives and 2.41% reserved for Year 1 network rewards¹⁷. ¹⁸.	<i>Aztec Open Public Offering...</i> (Foresight News via ChainCatcher)	https://www.chaincatcher.com/en/article/2220222	2025-11-14

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Tokenomics	The community token sale (Continuous Clearing Auction) is selling 1.547 billion AZTEC ($\approx 14.95\%$ of supply) at a floor fully-diluted valuation of \$350 M (75% below Aztec's last equity valuation). Participants are subject to a 90-day to 12-month lockup on purchased tokens.	Aztec launched a public token auction for ~ 1.547 B tokens (15% of supply) ¹⁹ , using Uniswap's on-chain "CCA" mechanism. The initial price corresponds to a \$350 M FDV ($\sim 75\%$ discount to Aztec Labs' last valuation) ²⁰ . All auction tokens are locked for at least 90 days (up to 1 year unless a governance vote releases them) ²¹ ²² .	<i>Aztec Open Public Offering...</i> (Foresight News via ChainCatcher)	https://www.chaincatcher.com/en/article/2220222	2025-11-14

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Risk/ Governance	The new Aztec "Ignition" network launched with no admin keys or privileged controls ("day-1 decentralization"). The rollup's Ethereum contracts are immutable and permissionless, and for the first year the core team, Foundation, and investors are barred from running validators or voting in governance.	An Aztec email confirms the Ignition mainnet chain is fully decentralized: ownership of the rollup contract was renounced and Aztec (team/ Foundation) is not operating it ²³ . In fact, for the next 12 months neither the Aztec Foundation, core team nor investors can run nodes, stake, or participate in governance – making Aztec "the first community-launched L2" ²⁴ .	<i>Aztec launches decentralized and private Ethereum L2 on mainnet, almost</i> (Cointelegraph via FastBull)	https://www.fastbull.com/news-detail/aztec-launches-decentralized-and-private-ethereum-l2-on-12399	2025-04-??

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Risk/ Governance	Aztec uses a permissionless proof-of-stake validator set: nearly 1,000 community sequencers participated in testnet. Slashing is implemented to eject any malicious or inactive sequencer, and network upgrades are enacted via on-chain governance where only token-staked sequencers vote (no Aztec Labs intervention).	During the adversarial testnet phase, Aztec had ~1,000 sequencers across 50+ countries stress-testing the network ²⁵ . A slashing mechanism now penalizes offline or malicious validators (3 strikes removes a sequencer) ²⁶ . Protocol upgrades are decided by sequencer governance: validators stake tokens and vote on upgrades without Aztec Labs or Foundation involvement ²⁷ ²⁸ .	<i>Introducing the Adversarial Testnet</i> (Aztec Network blog)	https://aztec.network/blog/introducing-the-adversarial-testnet	2025-07-31

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Risk/ Governance	Aztec's token governance can enable protocol changes after launch. After 12 months, governance may introduce protocol upgrades (like enabling the full EVM-compatible execution layer) or adjust token supply (inflation), subject to caps, via on-chain votes by token stakers.	Aztec's plans indicate that roughly one year post-token launch, Aztec Governance (token stakers) can vote to adjust total token supply (with an annual issuance cap) and potentially turn on the execution environment for user smart contracts ²⁹ . Any such upgrade would require a decentralized governance proposal and approval by the validator community ²⁷ .	<i>Aztec Open Public Offering...</i> (Foresight News via ChainCatcher)	https://www.chaincatcher.com/en/article/2220222	2025-11-14

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Adoption/ Traction	Aztec's previous product, Aztec Connect (zk.Money), demonstrated real usage: by late 2022 it had ~94,000 users depositing ~69,000 ETH (≈\$20M TVL) for private transfers and DeFi interactions. It was sunset in 2023 as Aztec shifted focus to the new platform.	Aztec Connect, a privacy Layer-2 launched in 2021, accumulated nearly 100k unique depositors and around 69,779 ETH deposited (TVL ~\$20M) by Dec 2022 ³⁰ ³¹ . However, Aztec disabled new deposits in March 2023 and began sunseting Aztec Connect to concentrate on building a general-purpose private L2 (Aztec 3) ³² ³³ .	<i>Regulatory Pressure Did Not Shut Down Privacy Tool, Aztec Founders Say</i> (CoinDesk)	https://www.coindesk.com/consensus-magazine/2023/03/24/founders-deny-regulatory-pressure-forced-aztec-connect-zkmoney-shutdown	2023-03-24

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Adoption/ Traction	The Aztec public testnet (May 2025) saw huge community engagement. Within 24 hours of launch, over 20,000 users were sending transactions and 10+ dApps (wallets, DEXes, NFT marketplaces) went live. The testnet's validator set grew to ~1,000 sequencers, indicating strong interest ahead of mainnet.	On May 1, 2025 Aztec's public testnet went live, and "within the first 24 hours, over 20k users" used the Aztec Playground to send transactions ³⁴ . Around the same time, roughly 10 applications (explorers, wallets, private DeFi and NFT apps) launched on Aztec testnet ³⁵ . The network eventually reached nearly 1,000 active sequencers (validators) globally during testing ²⁵ .	<i>Testnet Retro – Launch Day</i> (Aztec Network blog)	https://aztec.network/blog/testnet-retro-launch-day	2025-05-02

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Adoption/ Traction	Aztec's Ignition "mainnet" phase (late 2025) is live with community validators. Over 107 million AZTEC tokens were staked early on by genesis participants (e.g. testnet sequencers), and a Uniswap v4 pool with ~273M tokens (2.64% supply) will bootstrap liquidity after the sale.	As of Nov 2025, Aztec noted ~107.2 M AZTEC tokens already staked to secure the network – likely from the ~200 M tokens sold in the genesis sequencer sale to community members ³⁶ ³⁷ . A Uniswap v4 liquidity pool seeded with 273 M tokens (2.64% of supply) will go live on Dec 6, 2025 for trading, after the auction concludes ³⁸ ³⁹ .	<i>Aztec launches decentralized and private Ethereum L2 on mainnet, almost</i> (Cointelegraph via FastBull)	https://www.fastbull.com/news-detail/aztec-launches-decentralized-and-private-ethereum-l2-on-12399	2025-04-??

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Adoption/ Traction	A number of projects are already building on Aztec's ecosystem, focusing on private DeFi, NFTs, and identity. Examples include Azguard (privacy wallet), Nemi (private DEX), Raven House (private NFT platform), ZKPassport (ZK identity verification), and others bridging Ethereum with Aztec.	Aztec's website highlights early applications made possible by its privacy tech: Azguard Wallet (browser extension for private asset management), Nemi DeFi (a DEX that hides user identities), Raven House NFT (private NFT ownership and trading), ZKPassport (identity with selective disclosure), and even an Ethereum-Aztec private bridge by Human.Tech ⁴⁰ ⁴¹ . These showcase the kinds of "unprecedented projects" Aztec is powering.	<i>The Privacy-First L2 on Ethereum – Aztec</i> (official site)	https://aztec.network/	2025-11-13

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Market/ Narrative	Aztec positions itself as the leading Layer-2 for on-chain privacy, often described as a “VPN for Ethereum.” Unlike privacy coins (e.g. Zcash, Monero) or app-specific solutions, Aztec offers general-purpose private smart contracts, setting it apart from competitors like Polygon Nightfall or Starknet-based systems.	Industry analysts note Aztec as the frontrunner among privacy-focused rollups ⁴² . It provides programmable privacy on Ethereum, whereas alternatives either launch separate privacy chains or limited-scope solutions. Aztec’s approach lets users keep using popular Ethereum dApps with an “incognito mode,” earning it the nickname “VPN for crypto” ⁴³ ⁴⁴ .	<i>VPN for Crypto: What is Special about Aztec Network?</i> (TokenInsight)	https://tokeninsight.com/en/research/analysts-pick/vpn-for-crypto-what-is-special-about-aztec-network	2023-01-03

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Market/ Narrative	The Aztec team has proactively embraced a compliance-friendly stance to mitigate regulatory risk. After the Tornado Cash sanctions, Aztec imposed deposit limits and identity checks to deter illicit use, and its token sale requires a sanctioned-country screening via ZKPassport (a private KYC tool).	In 2022, Aztec responded to regulators by adding system-wide deposit caps and IP-based rate limits, and vowed to “unmask” stolen funds moving through Aztec ⁴⁵ ⁴⁶ . For the 2025 token sale, Aztec integrated ZKPassport zero-knowledge circuits to ensure participants are not sanctioned, without exposing personal data ⁴⁷ ⁴⁸ . These steps underscore Aztec’s effort to balance privacy with legal compliance.	<i>Aztec Bets Financial Privacy Will Weather ‘Crypto War’</i> (The Defiant)	https://thedefiant.io/news/defi/aztec-founders-talk-100m-raise	2022-12-15

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Market/ Narrative	Despite years of development, Aztec's token launch in 2025 sparked community debate. Many users expected an airdrop reward (none was given), and some criticized the \$350 M FDV and 12-month lockup as too steep given the stage of the project and bear market conditions.	Long-time Aztec users voiced disappointment that there was "no airdrop" for Aztec Connect or testnet participants ⁴⁹ . Additionally, the token sale's \$350 M implied valuation (with only ~15% offered to public and tokens locked up to a year) led some to argue the pricing and terms were out-of-sync with Aztec's current progress in a weak market ⁵⁰ ⁵¹ .	<i>After a seven-year wait... Aztec... embroiled in controversy</i> (PANews)	https://www.panewslab.com/en/articles/5db40a72-e7c6-410d-81ac-36ee2763dfb4	2025-11-15

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Market/ Narrative	On the other hand, interest in Aztec remains high amid a resurgence of the “privacy narrative.” Over 300,000 Ethereum addresses qualified for Aztec’s token sale whitelist, and privacy coins/tokens have seen renewed attention as regulators clarify stances and new ZK tech emerges.	Aztec whitelisted more than 300,000 eligible addresses (including Aztec testnet operators, Aztec Connect users, etc.) for the token sale ⁵² , demonstrating broad community interest. This comes as privacy in crypto is regaining momentum – e.g. Tornado Cash saw some legal relief and Zcash’s price spiked – positioning Aztec to capitalize on a shifting narrative favoring on-chain privacy ⁵³ .	<i>After a seven-year wait... Aztec... controversy</i> (PANews)	https://www.panewslab.com/en/articles/5db40a72-e7c6-410d-81ac-36ee2763dfb4	2025-11-15

Appendix - Contract Addresses and Repos

- **RollupProcessorV3** – Ethereum – `0xFF1F2B4ADb9dF6FC8eAFecDcbF96A2B351680455` – Main Aztec Connect rollup contract (held funds and verified zkSNARK proofs) ⁵⁴. Ownership was renounced at end-of-life.
- **DefiBridgeProxy** – Ethereum – `0xA1BB5...1487` – Bridge connector contract allowing Aztec Connect to interact with DeFi protocols on Ethereum ⁵⁵.
- **AztecFeeDistributor** – Ethereum – `0x4CF3...4927` – Fee distribution contract for Aztec Connect (split fees and reimbursed rollup providers’ gas costs) ⁵⁶.
- **Verifier (PLONK 28×32)** – Ethereum – `0xB7Ba...1CFB` – The PLONK zkSNARK Verifier contract used by Aztec Connect’s rollup to validate proof correctness on L1 ⁵⁷.

- **Aztec Protocol Monorepo** – GitHub – *aztec-packages* (AztecProtocol/aztec-packages) – The primary codebase for Aztec Network, containing the L2 node software, cryptographic proving system, and smart contracts (open-source, Apache-2.0 licensed) ⁵⁸ ⁵⁹ .
- **Noir Language** – GitHub – *noir-lang* (noir-lang/noir) – Aztec’s open-source Rust-based DSL and compiler for writing zero-knowledge circuits and Aztec smart contracts (enabling private and public contract logic in a high-level language).
- **Aztec Connect Repository** – GitHub – *aztec-connect* (AztecProtocol/aztec-connect) – Code for the earlier Aztec Connect rollup (zk.Money), which provided private transfers and DeFi access on Ethereum (now deprecated) ⁶⁰ ⁶¹ . Useful for reference on the prior system’s design.

Red Flags

- **Insider Token Concentration:** Nearly half of the AZTEC tokens (48% combined) are allocated to team and investors (albeit locked for 1 year), which could lead to centralized influence once these unlock ⁶² . If the Aztec Foundation also reclaims any unsold tokens from the sale ⁶³ , insider holdings could increase, posing governance centralization risks.
- **Regulatory Uncertainty:** Aztec’s core feature (encryption of transactions) may attract regulatory scrutiny or future restrictions. Privacy protocols have been targeted by authorities (e.g. Tornado Cash sanctions), and although Aztec has added compliance measures, a stricter regulatory environment could impact Aztec’s operations or user participation ⁴⁵ ⁶⁴ .
- **Incomplete Feature Set at Launch:** The initial Aztec mainnet does **not yet support general smart contract execution** (only basic private transfers and preset functions). The promised “private DeFi” functionality depends on a future upgrade ⁶⁵ . There is a risk that delays or issues in rolling out the full execution environment could hamper adoption or leave early stakers with limited utility for an extended period.
- **KYC vs. Privacy Contradiction:** Aztec’s decision to require KYC (via ZKPassport) for token sale participation has drawn criticism as antithetical to a privacy-focused platform ⁶⁶ ⁶⁷ . This tension between compliance and privacy principles could create community mistrust or deter privacy-conscious users.
- **Potential Inflation and Supply Change:** After one year, Aztec governance can introduce token inflation (capped, but up to 20% annually) ²⁹ . If the tokenholder governance is dominated by insiders, there’s a concern that inflation or other supply changes could be enacted in ways that dilute community members without clear accountability.

Open Questions

- **Full Launch Timeline:** When will Aztec enable its full smart contract **execution environment** on mainnet? Clarity on the roadmap for turning on user-deployable private contracts (and thus full DeFi functionality) is crucial for developers and users planning on Aztec.
- **Transaction Fees and Economics:** How will transaction fees be handled on Aztec in practice? Currently, ETH is used on Ethereum L1 for call data – will Aztec require fees in AZTEC tokens on L2 (after enabling the execution layer), and how will fee levels be governed or adjusted (e.g. via an EIP-1559-like mechanism as hinted ⁶⁸)?
- **Prover Incentives:** What is the incentive model for **provers** in Aztec’s network? While sequencer nodes earn block rewards and fees, the mechanism to compensate those who generate zkSNARK proofs (if distinct from sequencers) hasn’t been fully detailed in public docs – understanding how proving power will scale and be rewarded is an open question.
- **Post-Launch Decentralization:** After the 12-month post-launch period, will the Aztec Foundation and core team simply join as participants in validation/governance, or will there be additional decentralization measures? For instance, will there be any ongoing **restrictions or**

transparency obligations on insiders to ensure the network remains credibly neutral once they begin staking and voting?

- **Audits and Security Assurance:** Have the new Aztec protocol and Noir circuits undergone rigorous third-party **security audits**? Thus far, no comprehensive audit report has been published externally. The community would benefit from knowing the results of any audits (or plans for upcoming audits) given the complexity of Aztec's cryptography and smart contracts.

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58 59 GitHub - AztecProtocol/aztec-packages

<https://github.com/AztecProtocol/aztec-packages>

60 61 GitHub - AztecProtocol/aztec-connect: aztec connect repository

<https://github.com/AztecProtocol/aztec-connect/>